Question 1

Read the following scenario.

You are the audit manager working in a medium-sized accounting firm. Your firm has been approached by Jolly Builders Limited (Jolly) to see if it would be interested in undertaking a new non-audit engagement.

Jolly undertakes building work for a variety of private and public sector organisations. This includes a mixture of new developments as well as extensions and conversions of existing buildings. In 20X7, the company began construction on a new affordable housing development for a local council. As part of the development agreement, Jolly was informed that it would be eligible to apply for a local government grant.

The grant terms and conditions only allow the grant funds to be applied against certain types of expenditure, which can then be reclaimed under the terms of the grant. The grant covers expenditure incurred in the 12 months ended 31 December 20X7.

Your firm has been asked if it would be willing to sign off on a regulatory return (return) relating to the government grant. The return requires Jolly to disclose the total cost of the work completed together with the total cost of 'allowed' expenditure it wishes to claim back under the terms of the grant. The terms of the grant require a registered auditor to provide assurance that the figure related to 'allowed' expenditure is correct. The different categories of expenditure per the grant terms are as follows:

Allowed categories of expenditure:

- Building supplies required for housing primary structure and roofing
- Landscaping costs for communal areas within development
- Heating and smart meter installation

Disallowed categories of expenditure:

- Payroll costs
- Architects' fees
- Electrical items ('white goods') provided with property, excluding electrical wiring

The financial director of Jolly met recently with your engagement partner and highlighted that there are a significant number of transactions that Jolly will be claiming under the grant. They are also keen to keep the engagement fee as low as possible. Your engagement partner has explained to the financial director that the firm needs to firstly consider whether this could be classified as an assurance engagement and can then recommend what type of engagement would be most suitable. They have therefore asked you to draft a memo explaining the key elements that would need to be considered when concluding whether this would be classified as an assurance engagement and to make a recommendation over which type of engagement would be most suitable.

Question:

1. Explain the key elements to be considered when concluding whether this could be classified as an assurance engagement; and

(12 marks)

2. Recommend, with explanation, the most suitable type of engagement that the auditor could carry out for the proposed work.

(4 marks)

Question 2

Read the following scenario.

You are an audit manager for Leven and Thurso (L&T) registered auditors. L&T has been approached by Osiris New-builds Ltd (Osiris) to carry out a new engagement in relation to internal controls over its building project costing systems.

Osiris is an established construction firm, operating in the specialist field of designing and building research facilities. The recent economic downturn has led to a reduction in its workload and the directors have found it increasingly difficult to identify and bid successfully for profitable construction contracts. Osiris has been loss making for the last 2 years. You remember seeing an article about the company in the press recently, featuring a story about a number of staff being made redundant. Osiris employs significant numbers of staff, so the story attracted considerable interest.

Glen Bowmont, the finance director of Osiris, is a friend of Elliot Calder, a tax partner at L&T. They play golf together most weekends. Glen told Elliot that Osiris has been offered the opportunity to bid for construction contracts offered by local not-for-profit organisations, including a public authority. While Glen lives in the UK, the rest of the directors are based in various locations across Europe, and are not known to L&T.

These contracts are to be tendered on a 'cost-plus' basis. This means that the contract agreement would set out and define which contract costs would be reimbursed by the client. The contract price would consist of those costs plus a pre-agreed profit percentage.

Glen highlighted that the directors need to ensure that the costs for individual projects are correctly recorded and allocated. Most of the cost allocations are calculated based on the historic project records held by Osiris. However, an external firm of quantity surveyors reports on the actual usage of raw materials as progress is made with projects. These reports are used for the allocation of material costs.

Glen considers that Osiris' systems for project costing are robust but would like comfort that the internal controls in place are operating effectively before committing to bidding for cost-plus contracts. He asked Elliot if L&T would be interested in reporting on the operating effectiveness of the internal controls currently in place within Osiris' project costing systems. Glen wants the report to be prepared quickly so that Osiris is in a position to begin bidding for contracts as soon as possible. He is, however, keen to avoid any difficulties in a major contract with a public authority and appreciates that if a thorough job is required, this will not come cheaply.

Osiris does not have an internal audit department and the directors would prefer the report to be prepared by an independent firm which is not Osiris' auditor. Glen approached L&T partly because of his friendship with Elliot and also because L&T has a number of local clients in the not-for-profit sector. Glen considers that L&T will have useful knowledge of the expectations of such clients. Elliot has passed the enquiry on to your audit partner, Carron Tweed.

Carron has agreed with Glen that the required report should only cover testing the controls relating to the recording and allocation of contract costs.

Carron has asked you to analyse and explain the acceptancerisks relating to this controls assignment. She would also like you to explainthe different types of non-audit engagements that L&T could undertake in relation to Osiris, recommending whichis most suitable.

Questions:

1. Evaluate the acceptance risks relating to the proposed engagement, and

(22 marks)

2. Explain the different types of engagement that L&T could undertake for Osiris and recommend which type of engagement would be most suitable.

(11 marks)